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File No: **Subject:** Formosan League for Re-Emancipation **Date:** 7 Mar 1949

FROM: T/Intell **TO:** Col Lacey **PHONE:** 26-6021 **NAME:** Lt Col duMoulin

Comment Number

1. A copy of U.S. Military Attache, Nanking, China, report No. R-207-49, 8 February 1949, Subject: "The Formosan League For Re-Emancipation," (with draft brief attached) is forwarded for your information and file. — 1

2. Request your comment on whether this report (brief) should be called to Gen Willoughby's attention.

2 Incls:
1- AMILAT, Nanking, R-207-49, 8 Feb 49
2 - Draft Brief of R-207-49, 8 Feb 49

A. K. duM.

FROM: Sp/Int TO: T/Intell PHONE: 33-5387 DATE: 10 Mar 1949
NAME : W. S. CODD — 2

1. Reference par 1 of Comment 1 above, the copy of the report from the U S Mil Attache, Nanking, China, has been withdrawn for our file.

2. Reference par 2 of Comment 1, in view of our letter to the Director of Intelligence, Washington, D. C., and the request for background information from ESD-44, both of which have not been replied to as yet, plus the brief which was submitted to the C/S and CinC on 8 February 1949, it is suggested that the matter be temporarily held in abeyance until a complete brief can be submitted, covering all avenues of inquiry together with recommendations in the matter.

Incls:
1 w/d
2 n/c

for
A. T. L.

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BRIEF

BRIEF OF REPORT NO. R-207-49, U.S. MILITARY ATTACHE, NANKING, CHINA (1)
THE FORMOSAN LEAGUE FOR RE-EMANCIPATION

Reference report reviews information obtained by the Assistant U.S. Military Attache, Shanghai, China as pertains to events leading to the receipt by this Headquarters of a letter from P. C. CHANG, alleged leader of a Taiwanese independence movement.

Contacts to date have included a Dr. Joshua W. K. LIAO, American educated, Taiwanese President of the LIAO Land and Trade Company, Taipeh, Formosa; Gen CHANG Pang-chich (P. C. CHANG), former head of the Taiwan Revolutionary Organization; and Mr. James I. C. CHANG, a Shanghai businessman and associate of P. C. CHANG. All three individuals apparently are connected with the Formosan League for Re-Emancipation.

Dr. LIAO, when calling on the Assistant U.S. Military Attache, Shanghai, protested U.S. military aid to the Central Government of China, requested that the U.S. maintain strict neutrality when the Taiwanese revolt against the Chinese, and petitioned the U.S. Government to assist in disarming the Chinese once the revolution is successful. LIAO claims influence over Taiwanese educators and students and states that although many "hot-tempered" students are now becoming restless, it is the Leage's desire to refrain from any direct action until a coalition government occurred in China and its treatment of the Taiwanese could be determined. Reporting officer believes LIAO is an idealist and political theorist who is apparently willing to exhaust every possiblity for obtaining just consideration for his people. LIAO claims association with Gen P. C. CHANG.

Gen P. C. CHANG called on the Assistant Military Attache, Shanghai on three occasions, primarily to use Attache channels to transmit a letter to CINCFE offering the services of his military and political following in the fight against communism. Gen CHANG stated that his record was on file with the U.S. Department of State, Washington, D. C. and gave the following background information: During 1931 he was head of the Taiwan Revolutionary Organization, and during this same year, also headed the Overseas Volunteer Corps to help fight against the Japanese. He

(1) AMILAT, Nanking R-207-49, 8 February 1949.

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further claimed that in 1932 he was Chief of Staff of 4th Route Army in Fukien; that later he was a member of the TAI LI Organization; that in 1945 he was Secretary to HO Ying-chin; and that in 1946 he was an advisor to the Ministry of National Defense. Gen CHANG's motives are not entirely clear except that he appears to have a strong desire to be associated with CINCFE. His past association with the Kuomintang and the TAI LI Organization makes him, on the surface, a strange bed fellow for LIAO. However, claiming a following of 500,000, and desiring American support, may indicate a hidden ambition for the governorship of Taiwan should it conceivably pass from Chinese domination. His acceptance of LIAO is possibly justified in that LIAO may control an element essential to CHANG's future achievements, plus the fact that they are both Taiwanese and believed to be highly respected by their people. Gen CHANG has extended an invitation to the reporting officer to visit Taiwan and meet members of his group.

Mr. James I. C. CHANG's position in the picture is obscure. He is an Overseas Chinese from Singapore, now residing in Shanghai, apparently associated with LIAO and Gen CHANG and acted as interpreter during the Attache's interviews with Gen P. C. CHANG. Mr. CHANG claimed to know nothing of military affairs, but on his fourth call to the Attache, he reiterated Gen CHANG's and Dr. LIAO's statements of the strategic value of Taiwan and the necessity of the Island being within the American sphere. His main objective appears to be financial gains to be obtained through exports to Japan, Korea and Guam, and desires to enter Japan to pursue his export business.

It is the reporting officer's opinion that there exists in Taiwan a sincere and strong feeling for independence, if it is within the scope of the U.S. military, political, economic and cultural sphere; that the right group could now, in the last-gasp stages of the Nationalist Government, organize elements of the Chinese Army, Air Force, and Navy stationed on Taiwan for a shakey and short-lived autonomy; but that no positive action is anticipated until organized outside aid is assured.